

Dear Editor,

We are pleased to resubmit our revised manuscript, *Crowded Out: Measuring Rental Market Pressure with Household Density*, for consideration. We thank you and the referees for the thoughtful and constructive feedback provided during the review process. The comments were extremely helpful, and we believe the manuscript has been substantially strengthened as a result.

In response to the reviewers' principal methodological concerns, we made a significant revision to the empirical framework by replacing the original two-stage estimation approach with a single-stage panel ARDL specification. This change directly addresses concerns regarding model identification and dynamic specification while improving both interpretability and statistical performance. The revised model produces a within- R^2 of 0.141 and exhibits no evidence of residual autocorrelation based on Ljung–Box tests at lags 1 through 4 (all p-values > 0.10), supporting the adequacy of the dynamic structure.

We also revised the model specification to place household-level rental density at the center of the analysis. The level and change in renter household density now serve as the primary variables of interest, while bedroom density is incorporated as a control for household composition and living-arrangement differences across metropolitan areas. These revisions sharpen the paper's focus on household consolidation as a non-price margin of rental market adjustment and strengthen the interpretation of the Rental Density Index as a measure of latent demand pressure.

The revised manuscript carries these changes throughout the empirical analysis, robustness tests, and forecasting exercises. We believe the resulting paper presents a clearer and more rigorous examination of household-level and bedroom-level density dynamics in U.S. rental markets and their relationship to subsequent rent growth.

A detailed, point-by-point response to all reviewer comments is provided in the accompanying response document. We are grateful for the opportunity to revise the manuscript and hope that the revisions satisfactorily address the concerns raised by the referees.

Thank you for your time and consideration.

Sincerely,

The Authors